

Affinius Capital's \$180M Loan Shows Floating-Rate Debt Is Still the Tool for Unstabilized Multifamily

The bridge loan on a pre-leasing Jersey City tower reveals where private credit is willing to go and why.

Inside the \$180 million financing

\$180 million

Debt / financing

\$335 million

Debt / financing

833 units

Portfolio scale

This is not a permanent refinancing

The most important detail in Affinius Capital's \$180 million loan for Namdar Group's 35 Cottage Street is not the amount. It is the structure: floating-rate, interest-only, bridge debt on a tower that has not yet opened. This is not a permanent refinancing. It is a construction-to-stabilization bridge, placed by a private credit lender willing to underwrite lease-up risk in a submarket that has attracted enormous supply.

The loan reveals where institutional debt capital is willing to go today: not into fully

The loan reveals where institutional debt capital is willing to go today: not into fully stabilized core assets, but into transitional multifamily where the sponsor has a track record and the basis is defensible. Namdar Group secured \$180 million for the 27-story, 564-unit tower at 35 Cottage Street, a short walk from the Journal Square PATH station. Affinius Capital provided the debt. Walker & Dunlop's capital markets team arranged the transaction.

Floating-rate bridge debt gives the borrower time to stabilize the asset without locking

The property has not yet opened, but will feature units ranging from studios to three-bedrooms, with three ground floors planned for a Chabad synagogue, a preschool, and a party hall. The floating-rate, interest-only structure is the key signal. Floating-rate bridge debt gives the borrower time to stabilize the asset without locking in today's elevated fixed-rate term. Interest-only payments preserve cash flow during lease-up.

The lender, in turn, gets a floating coupon

The lender, in turn, gets a floating coupon that adjusts with the rate environment and a near-term maturity that forces a refinancing once the asset is stabilized. This is not a vote of confidence in the broader multifamily market. It is a vote of confidence in this specific basis, this sponsor, and this submarket's absorption capacity. Journal Square has seen a wave of new supply.

Namdar Group alone has been responsible for a prolific amount of new development

Namdar Group alone has been responsible for a prolific amount of new development in Jersey City, including a \$335 million debt package last year to refinance three newly built multifamily assets totaling 833 units. The question is whether the market can absorb 564 new units in a submarket that has already absorbed thousands. The answer will determine whether this bridge loan becomes a successful stabilization or a workout candidate.

Affinius Capital is betting on the sponsor's execution and the transit-oriented location

Affinius Capital is betting on the sponsor's execution and the transit-oriented location. Namdar Group is betting that Journal Square's rent growth and occupancy will hold through the lease-up period. The floating-rate structure gives both parties flexibility, but it also introduces rate risk. If the Fed holds rates higher for longer, the coupon on this loan will rise, compressing the borrower's net operating income and making the eventual permanent refinancing more expensive.

Affinius Capital gets a floating-rate yield on a transitional asset with a credible

Who benefits? Namdar Group gets time and liquidity to lease up the tower without a fixed-rate lock. Affinius Capital gets a floating-rate yield on a transitional asset with a credible sponsor and a strong location. Walker & Dunlop earns a placement fee and reinforces its position as a top multifamily debt arranger. Who is exposed? The borrower, if lease-up slows or rates rise faster than expected.

The lender, if the asset fails to stabilize and the loan needs to be extended or restructured

The lender, if the asset fails to stabilize and the loan needs to be extended or restructured. And the broader market, because every new unit delivered in Journal Square adds to the supply overhang that will test rent growth and occupancy across the submarket. What should market participants watch? The pace of lease-up at 35 Cottage Street. The trajectory of Journal Square rents and occupancy over the next 12 to 18 months.

It is proof that private credit is willing to finance the transition from construction

And the next refinancing of Namdar Group's other Jersey City assets, which will reveal whether permanent capital is willing to take out these bridge loans at terms that work. This deal is not proof that multifamily lending is back to normal. It is proof that private credit is willing to finance the transition from construction to stabilization, but only at a price and structure that reflects the risk.

The question is whether the asset will be ready for the next tool when the bridge expires

Floating-rate bridge debt is the tool for that job. The question is whether the asset will be ready for the next tool when the bridge expires.

Why it matters

And the next refinancing of Namdar Group's other Jersey City assets, which will reveal whether permanent capital is willing to take out these bridge loans at terms that work.

LIGHT TOWER GROUP
